FALLEN EMPIRES

Sold Out, Then Dead: the one-page checklist

Three real companies that had real demand and still failed. This is what happened, and what to look for. Observations about how businesses fail, not investment advice.

The three cases (sourced facts)

| | VanMoof (e-bikes) | Pebble (smartwatch) | Crumbs (cupcakes) |

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| The demand | Sold more in 4 months of 2020 than in the previous 2 years (company's own account); 3+ month waits at the peak | Two Kickstarter records: $10.3M (2012), $20.3M (2015); 1M+ watches by end of 2014 | 58 stores in 12 states (May 2014); public company since 2011 |

| The warning | Frequent breakdowns, slow repairs; losses of almost €80M in 2021 and about the same in 2022 | First shipments 4 months late; 25% of staff cut in 2016 despite $26M raised | 12 quarters in a row with net losses; one product |

| The end | Bankrupt 17 July 2023, about €144M owed | Sold to Fitbit on 6 Dec 2016 for $23M (Fitbit's filing); debts and inventory excluded | All stores closed July 2014 with about $300K cash |

| After | Brand bought by a McLaren Applied unit (Aug 2023) | Name recovered by its founder in 2025 | Reopened Oct 2014, closed again Dec 2016, online relaunch 2022 |

3 things the survivors check (✓)

1. **Count the cost after the sale.** Repairs, warranty, support and returns are part of the price of every unit.
2. **Match cash to the forecast.** A sold-out pre-order is revenue promised, not cash in the bank for the next product.
3. **Have a second act.** A single product or trend needs a plan for the day demand cools.

2 mistakes to avoid (✕)

1. Growing faster (more countries, more staff, more stores) than the service side can support.
2. Treating a record, a craze or a funding round as proof the business model works.

Glossary

- **Cash burn**: how much cash a company spends beyond what it earns, per month or year.
- **Convertible note**: a loan that can turn into shares later.
- **Warranty cost**: money a company must spend repairing products it already sold.
- **Delisting**: a stock exchange removing a company's shares because it fails the listing rules.

Sources: Reuters, AFP, Bloomberg, WSJ, Fortune, The Verge, TechSpot, Betakit, Wikipedia (see the video description). Images: Wikimedia Commons and Openverse, with credits in the video description.

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